with being able to work out the ROI on any potential deals. To work out the :Return on Investment you need to know two figures

?What was the up-front investment you have to put down (1
?What is the annual cashflow or profit from this investment (2

The annual profit is then divided by the up-front investment, which will .leave you with your percentage of ROI

On top of this figure you should hope to benefit from capital growth, but .never bank on this because capital growth does not pay the bills

Recycle your rental income

The next important formula I call ‘ Recycle the Rent’. This is extremely simple while incredibly powerful, but many investors do not do it. Recycling the rent is when you put a percentage of your rent aside for buying more investment properties. This percentage can be anywhere between 10 per cent and 100 per cent depending on how much you need the .rental income

Earlier on I told you about Liam the professional footballer. Liam has bought four properties in the last six months and is generating a good £ 3,000 per month in positive rental income. He has decided to put 100 per cent of this income aside for buying more investment properties. Working on the basis that £ 30,000 is enough to buy another property, and each property will generate £ 750 per month in positive passive income,